Real-Life Example: Traffic and Stoplights

The Players: Two drivers approaching a perpendicular junction at the same time.

The Choices: Each driver can either go or stop.

The Outcomes:

- If both go, they crash (worst outcome for both).
- If both stop, it wastes time (inefficient).
- If one goes and the other stops, both reach safety, and traffic flows smoothly (best or second-best outcome).

Why it is a Nash Equilibrium: If Driver A has a green light and goes, Driver B has a red light and stops. Neither driver has any incentive to change their behaviour. If Driver B chose to go instead, they would crash. If Driver A chose to stop, they would unnecessarily delay their own trip.

Even without a police officer standing there to issue a ticket, following the signal is a self-enforcing Nash equilibrium.